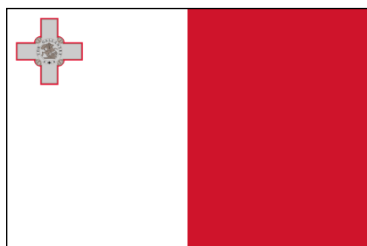


THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Malta 2022



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Description of policy rules for 2022

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Preface

This report provides a detailed description of the tax and benefit rules in Malta as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2022**.
- The symbol  in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**
- Text in **blue font colour identifies COVID-related measures** that are still in place on the reference policy date of this report.

The OECD tax-benefit model for Malta: Policy rules in 2022

1. Reference wages

Average wage **[AW]**: The average full-time gross wages used in the OECD tax-benefit model are available [here](#).¹ According to the National Statistics Office of Malta, the final Average Wage estimate for 2021 is EUR 23 950. The preliminary Average Wage for 2022 is EUR 24 487.

Minimum wage **[MIN]** in 2022 is EUR 182.83 per week. The annual minimum wage is computed by multiplying the minimum weekly wage (as of January 1, 2022) by 52, i.e. $\text{EUR } 182.83 \times 52 = \text{EUR } 9\,507.16$.

2. Unemployment benefits

2.1. Unemployment insurance benefit (*Beneficcju tal- qaghad*) and Special unemployment benefit (*Beneficcju specjali tal- qaghad*)

Variable names: **[UI_p; UI_s]**

In Malta there are two unemployment benefit programmes:

Unemployment Insurance Benefit (UIB) is a contributory, not means-tested and taxable benefit.

The **Special Unemployment Benefit (SUB)** is composed of the unemployment insurance benefit (UIB) topped up by an additional amount (Section 2.1.2). To be eligible for the SUB, jobseekers have to satisfy both the contribution conditions for the UIB as well as the income and asset tests of the Social Assistance benefit (Section 3.1).

2.1.1. Eligibility conditions

Age: over 16 but below 63 years old.

Contribution/employment history: UIB is granted to an unemployed person, who has at least 50 weekly Class 1 and/or Class 2 social security contributions of which 20 should have been contributed in the last two consecutive complete contribution years before the request for the Unemployment benefit.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.² The benefit claimant is:

¹ For OECD member countries, the Average Wage values (AW) are calculated using the methodology described in the annex of the latest [Taxing Wages publication](#). Non-OECD countries follow a similar methodology. For Malta, the average wage ('average basic salary') for FT employees is derived from the first three quarters of the 2021 Labour Force Survey. This average is then topped up by a factor for overtime earnings and regular and irregular bonuses and allowances. The factors for these additional wage costs are derived from the latest Labour Cost Survey (2016).

² Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion OECD reports.

1. not working;
2. involuntarily unemployed;³
3. registered for work with Jobsplus - this implies regular meetings with the employment advisors to discuss the Personal Action Plan (PAP);
4. attending interviews for potential jobs indicated by Jobsplus and not declining any offer for employment;
5. attending any training which Jobsplus deems suitable for increasing the unemployed person chances of finding a job;
6. participating in the Youth Guarantee Scheme under the supervision of the Ministry of Finance and Employment if under the age of 29.

2.1.2. *Benefit amount*

The allowance depends solely on the composition of the household.

Persons receiving **UIB** are entitled to EUR 8.66 per day if single head of household⁴ (max 233.82 Euros per month), and to EUR 13.25 per day (max EUR 357.75 per month) if they are lone parents or married household heads with a spouse who is inactive or in part-time employment. A spouse in part-time employment can be, e.g. someone who works 35 hours a week throughout the year without interruptions, independently of their hourly wage; or someone who works only part of the year, independently of the hourly wage(s) and the contractual hours of work.⁵

TaxBEN note: a “part-time” employee in the OECD tax-benefit model (TaxBEN) is a person who earn less than the full-time gross minimum wage (Section 1) or work less than 40 hours per week, *independently* of their hourly wage. Note that, for working adults, TaxBEN assumes an *uninterrupted* work activity throughout the fiscal year

Jobseekers receiving the **SUB** are entitled to EUR 14.68 per day (EUR 396.36 per month) if they are single household heads, and to EUR 22.25 per day (EUR 600.75 per month) if they are lone parents or married household heads with a spouse who is inactive or in part-time employment.

Payment is based on each day of unemployment, excluding Sundays.

Frequency/periodicity of benefit payments: weekly.

³ Those whose unemployment is either voluntary (currently not seeking employment) or the result of misconduct at their previous employment are not eligible for unemployment benefits. There is no formal definition for “involuntary unemployment”. This concept refers to any person who is able and willing to work but has yet to find employment. This includes persons who (i) have been made redundant by their former employer, not for disciplinary reasons, (ii) those attempting to re-enter the labour market after a period of inactivity (e.g. women who left their job for childbearing and/or upbringing) or (iii) new jobseekers (e.g. university students who have finished their education). The common characteristic is that such persons need to be actively seeking employment.

⁴ A household is defined as one or two, or more persons who live together as a family.

⁵ According to the Department for Industry & Employment Relations, an employee works part time if his/her weekly working hours are less than the ‘normal’ hours of work of a comparable full time employee. The ‘normal’ hours of work are defined as 40 hours per week (see [here](#)). In certain sectors, e.g. manufacturing and tourism, normal working hours can rise up to a maximum of 48 hours.

2.1.3. *Benefit duration*

The maximum unemployment benefit payment period is 156 days. Upon exhaustion of SUB, jobseekers becomes normally entitled to unemployment / social assistance (Sections 2.2 and 3.1) on re-assessment.

To be re-eligible to receive unemployment benefit following a full 156-day entitlement, the person needs to have spent a minimum of 13 weeks in employment (i.e. paid at least 13 weekly social security contributions) between claims.

2.1.4. *Means test*

Both UIB and SUB are flat rate benefits (section 2.1.2).

Eligibility for the UIB is not subject to any means tests. However, if the spouse works full time, the individual is entitled to the lower UIB rate.

Differently from the UIB, eligibility for the SUB requires claimants to pass the means test of the Social/Unemployment Assistance benefit (Sections 2.2 and 3.1). If the claimant passes this means test (both the income and asset tests), they receive first the SUB and, when the SUB expires, (section 2.1.3) they may receive UA/SA if the relevant eligibility conditions are met. Note that, differently from the UA/SA benefit, for which the spouse's earnings affect both the eligibility and amounts, the SUB amount is fixed and the spouse's earnings affect only the eligibility.

2.1.5. *Tax treatment*

UIB and SUB are both taxable.

2.1.6. *Interactions with other components of the tax-benefit system*

Payment of the unemployment benefit is suspended for the duration of the sickness benefit (see Annex for details on this benefit). UIB and SUP are not compatible with the SA/UA benefit. UIB/SUB beneficiaries become entitled to SA/UA once SUB entitlement is exhausted.

2.1.7. *Combining benefit receipt and employment/starting a new job*

The payment of unemployment benefit is fully withdrawn if the jobseeker takes up employment. However, benefit recipients who have received the SUB for at least 1 year in the last 3 years are eligible for the “Tapering of Benefits” scheme if they take up employment with earnings equal to at least the national full time minimum wage.⁶ According to the Tapering of Benefits scheme, during the first year of employment benefit recipients continue to receive 65% of the benefit amount that they had received before taking up employment. Such rate decreases to 45% during the second year of employment, and to 25% during the third year. After three years of employment, the benefit is no longer paid.

If a person has not exhausted their 156 day entitlement, and has not been in insurable employment for at least 13 weeks (minimum period for re-eligibility), then he/she will be eligible to receive their remaining previous entitlement (equivalent to difference

⁶ Because the SUB duration is 156 days, the condition of 1-year of receipt in the last 3 years may apply if the recipient switches between periods of SUB and periods of work (for at least 13 weeks, in order to qualify again for the SUB). The 1-year condition may hold also if, after the exhaustion of the SUB (156 days) the person starts receiving, upon re-assessment, SA/UA for at least 210 days before taking up employment.

between their original entitlement and the number of benefit days already received) in case of future unemployment events.⁷

TaxBEN note: If users select “unemployment benefits” as the primary out-of-work benefit but do *not* allow for “social assistance” (e.g. because they are interested in families that do not pass the SA means test), the ‘Tapering of Benefits’ programme is *not* included in the calculations when users select the option “into-work benefits” (i.e. the option that considers a *recent* in-work transition). The reason of this modelling choice relies on the fact that SA/UA is available only after exhaustion of the SUB *and* upon the claimant’s re-assessment. However, if users do *not* allow for SA in the calculations, the model will assume that the SA assessment after the exhaustion of the SUB was negative, and that the person does not receive other benefits after the 156 days of the SUB. As a result, with these model settings, the eligibility condition for the Tapering of Benefits programme of having received SUB+SA/UB for at least one year is not met.

However, if users allow for “Social Assistance” and “Into-work-benefits” in the model, the Tapering of Benefit programmes is included in the calculations, as the model assumes that *after the SUB* the claimant pass the SA assessment and receive SUB+SA for more than 1 year.

2.2. Unemployment Assistance

OECD note: In many OECD countries, jobseekers who do not qualify for Unemployment Insurance (UI – Section 2.1), or whose entitlement to UI is low or has expired, can claim Unemployment Assistance (UA – this section) and/or Social Assistance benefits (SA – Section 3). UA and SA benefits are similar but not identical. While they are typically both means tested at the household level, they serve different purposes and reach different target groups. For instance, while the main purpose of UA is to encourage the labour market reintegration of jobseekers who have exhausted or are not eligible to the standard UI benefit, the purpose of SA programmes is to provide an acceptable standard of living for families unable to earn sufficient incomes from other sources. Conditions for UA typically include requirements to register with the public employment service and participate in active job search in a similar way as for UI. This is *not always* the case for SA benefits, for which low income is the key entitlement criterion and activation requirements *exist only for those who are capable of work*.

Malta provides a non-contributory and means-tested benefit that jobseekers who are registered under Part 1 of the Unemployment Register and engage in active job search can claim once the other unemployment benefits (Section 2.1) have expired. Eligibility rules for this benefit do *not* include conditions on the previous employment history or contribution record. In addition, the activation requirements that exist for this benefit apply only for those who are capable of and willing to work. Considering these characteristics, the methodology of the OECD tax-benefit model classifies this benefit as Social Assistance (Section 3.1) rather than Unemployment Assistance.⁸

⁷ In other words, jobseekers who take up work can “save” any unused employment / contribution requirements for a future unemployment spell.

⁸ The Malta’s [ESSPROS](#) Statistics classify this benefit as Unemployment Assistance under the Unemployment function.

3. Social assistance and housing benefits

3.1. Social assistance (*Ghajnuna Socjali*)

Variable name: **[SA]**

This is a non-contributory benefit, means-tested and non-taxable.

3.1.1. Eligibility conditions

Only persons without work can claim this benefit. Claimants who decide to register under Part I of the Unemployment Register and engage in active job search will have their SA benefit replaced by UA.⁹

OECD note: The UA and SA benefits in Malta are identical in terms of income and asset tests, benefit amounts, duration and tax treatment. The sole differences are related to the activation and job search requirements, which apply only for the UA benefit. In other terms, Malta can be considered as having a single income support programme for jobless individuals who are not eligible for UI (Section 2.1) whose activation and job search depend on the claimant's ability and willingness to work. As explained in Section 2.2, because the eligibility rules for both the SA and UA programmes do not include conditions on the previous employment history or contribution record, the methodology of the OECD Tax-Benefit model classifies also the UA benefit as Social Assistance.

Those who are unable to work due to, e.g. *i)* health reasons, *ii)* care and custody of children for widows or legally separated spouses, *iii)* care of a critically ill spouse, can claim Social Assistance.

Other eligible persons are those with not enough social security contributions to qualify for UB / SUB, including the case of no previous contributions at all, as well as self-employed persons who became unemployed and are either ineligible to receive UB/SUB or have exhausted their entitlement to these benefits.

Eligibility for SA depends on whether the claimant satisfies the means test (Section 3.1.4). Because the earnings of the claimant's spouse enter the income test, jobless claimants who live with a working spouse may not be eligible for SA if the spouse's earnings are above the maximum SA amount that applies to the claimant (section 3.1.2).¹⁰

In general, social assistance benefit recipients cannot engage in work activities. However, SA recipients who have received SA for more than 1 year over the last 3 years and take up employment with earnings equal to the full-time minimum wage or more, become eligible for the Tapering of Benefits scheme (see section 3.1.7 for details, including the different rules for single parents).

3.1.2. Benefit amount

Maximum benefit entitlements depend on the number of household members who depend directly on the claimant:

⁹ For those under the age of 25, eligibility is satisfied also by participating in the Youth Guarantee Scheme under the supervision of the Ministry of Finance and Employment.

¹⁰ This is true even at low full-time earnings of the spouse. For instance, if the claimant's spouse works full time at the minimum wage (section 1) the SA claimant will not pass the SA means test (section 3.1.4). Thus, the spouse must be employed part-time for the applicant to have the possibility of passing the income test.

- One person (i.e. claimant only): EUR 111.18 / week (481.834 a month). For each additional dependant – EUR 8.15 / week (EUR 35.32 / month).

For example:

- Two persons (claimant and 1 dependant): EUR 119.33/week (517.15 / month).
- Three persons (claimant and 2 dependants): EUR 127.48/week (552.47 / month)
- Four persons (claimant and 3 dependants): EUR 135.63/week (587.79/ month).
- Five persons (claimant and 4 dependants): EUR 143.78/week (623.11 / month).

These are maximum amounts. Final entitlements will depend on the income test (Section 3.1.4). More specifically, final entitlements are equal to the difference between the maximum benefit amounts above and the reference household income described in Section 3.1.4.

Note: for a person to be listed as dependent on the head of household, they need to be living in the same household and be neither employed nor self-occupied. Hence, a spouse working part-time at the hourly minimum wage *cannot* be listed as a dependent on the head of household.

Social assistance recipients receive two additional supplements:

1. The “*Additional Bonus*” of EUR 3.12 per week / EUR 13.42 per month. This bonus does not depend on the number of dependants that may be living with the SA recipient.
2. The “*Half yearly bonus*” of EUR 135.10 for two times a year (for a total of EUR 22.52 per month). This bonus does not depend on the number of dependants that may be living with the SA recipient.

These bonus payments are made to recipients of Social/Unemployment Assistance (including recipients of Tapering of Benefits scheme – section 3.1.7), as well as recipients of contributory and non-contributory pensions. For recipients of social assistance, the abovementioned bonuses are *not* taxable.

Recipients of the following benefits: UIB/SUB (section 2.1), Supplementary allowance (Section 3.2) and Children’s allowance (section 4.1) are *not* eligible for these bonuses.

Frequency/periodicity of benefit payments: every 4 weeks (13 annual payments).

Indexation: benefits in Malta are adjusted annually by Government through the budget and are linked to the minimum wage. They are increased annually by 2/3 of the full Cost of Living Increase. As of 2022, persons in receipt of any form of Social Assistance are being awarded the full Cost of Living Increase. The cost-of-living increase is an annual adjustment, announced as part of the Government’s Budget speech, to maintain people’s standard of living. It is obligatory and payable to all full-time (full amount awarded) and part-time employees (amount payable in proportion to their hours worked). The adjustment is based on the inflation rate of prices for 40 products including food, water, electricity, clothing, etc. Eligibility also extends to persons in receipt of a form of Contributory or Non-Contributory pension and to all beneficiaries in receipt of a type of Social Assistance. Following the awarding of such increase, these individuals will have their benefit automatically adjusted by either two-thirds (for pensions) or the full amount (in case of SA) of cost-of-living increase.¹¹

¹¹ Other benefits that are automatically increased in line with the cost-of-living are largely outside the scope of this report, such as forms of medical or disability assistances. Employed persons in receipt of Children’s Allowance, In-Work Benefit or a Housing Benefit would obtain the cost-of-living increase through their employment income. However, three benefits in Annex 1 are adjusted according to the cost-of-living increase. These are (i) Subsidiary Unemployment Assistance that is a form of Social Assistance and hence subject to the full increase, (ii) Carer’s Allowance that is subject to the two-thirds increase and (iii) Increased Carer’s Allowance that

3.1.3. *Benefit duration*

No limitation.

3.1.4. *Means test*

Social assistance is income and asset tested.

Income test. The income test considers all the household incomes including any earned incomes as well as maintenance, interests and income from rent payments. If the spouse of the applicant is employed, the relevant earned income that enters the income test are the gross earnings received after the deduction of the employee social security contributions (section 7.1). The income test includes also the amount of unemployment insurance of the spouse (if the spouse of the claimant is also without work and eligible for unemployment insurance, see Section 2.1 for details on the unemployment insurance benefit) and the in-work benefit (Section 6).¹² The Supplementary Allowance (Section 3.2), Housing Benefit (Section 3.3), Children's Allowance (Section 4.1), Foster Care Allowance (annex), Disabled Child Allowance (annex) and Maternity Benefit (Annex) are *not* included in the income test.¹³

If the sum of the household incomes listed above exceeds the maximum benefit amounts defined in Section 3.1.2 (without the two additional supplements), no benefit is paid. If the sum of the household incomes is below the amounts defined in Section 3.1.2, the difference in the two amounts is paid.

Asset test. In case of a single person, capital should not exceed EUR 14000 per year. In case of a household of two or more adult persons, the capital should not exceed EUR 23300 per year. The following assets are excluded from the Capital Resources test:

- the house of residence
- the first private car ¹⁴
- a garage for private use
- a summer residence
- Any immovable property, which is being put to profitable use, e.g. a property rented to third parties.¹⁵

Where the property does not belong to the household head or the partner, but to other members, including the children, only half of the value of the property is taken into account.

obtains the full adjustment. These benefits have the common characteristic of the beneficiary being unemployed. Social security contribution wage brackets and rates listed in Section 7.1 are adjusted annually according to the cost-of-living increase

¹² If the spouse of the claimant works part-time with earnings equal to the eligibility threshold of the in-work benefit (section 6), the claimant would *not* be eligible for SA as the reference income for the SA income test would be above the maximum SA amount (unless there are other dependants in the claimant's family).

¹³ The Housing Benefit (Section 3.3) is paid directly by the Housing Authority and cannot be considered as a 'social benefit'. For this reason, this benefit is not included in the SA income test.

¹⁴ If the partner drives, no consideration at all is given to the second car. However, if the partner does not drive, it is considered as capital.

¹⁵ In this case, the rental income from the property is included in the income test. The value of uncultivated lands and other immovable properties that are not being put to profitable use is part of the Capital Resource test. The market value is assessed by an independent expert.

Capital Resource test: The total market value of the moveable assets and immovable properties, except those indicated above, is taken into account. If the total market value at the family level exceeds the prescribed threshold (above), the benefit is not payable.

OECD note: the TaxBEN calculations assume that all conditions related to assets are satisfied.

3.1.5. Tax treatment

The benefit is not taxable.

3.1.6. Interaction with other components of the tax-benefit system

It is possible to receive the social assistance together with other social benefits. Jobseekers receiving UB or SUB can apply for SA only after exhaustion of their UB/SUB entitlements.

3.1.7. Combining benefit receipt and employment/starting a new job

In general, social assistance benefit recipients cannot engage in work activities. However, SA recipients who have received SA or SUB+SA for more than 1 year over the last 3 years and take up full-time employment with earnings equal to the minimum wage or more, become eligible for the Tapering of Benefits scheme.

Single parents can access the Tapering of Benefits scheme even if they take up part-time employment, as long as the hourly wage rate is equal to the minimum hourly wage rate (i.e. EUR 4.57/hour based on the weekly full-time minimum wage reported in Section 1 and 40 hours of work per week). In addition, for single parents, the 1-year rule of social benefit receipt does not apply in order to access the Tapering of Benefits scheme.

The Tapering of Benefits rate is a percentage of the last social benefit rate paid (excluding the “Additional Bonus”, the “Half yearly bonus” and the “rent element”):

- 65% of the benefit rate for the first year.
- 45% of the benefit rate for the second year.
- 25% of the benefit rate for the third year.

After three years of employment, the benefit is no longer paid. Beneficiaries are paid in arrears every 4 weeks.

The amounts of the Tapering of Benefits scheme are not taxable. The amount do not enter the income test of the Supplementary Allowance (section 3.2). However, they are included in the income tests of the Housing Benefit (section 3.3) and the Children’s allowance (Section 4.1).

OECD note: The amount of the Tapering of Benefits scheme is included in the ‘social assistance’ variable (SA) of the TaxBEN model when the relevant eligibility conditions hold and users select the option “into-work benefits” (i.e. the option that considers a recent transition into work and, as a result, the availability of transitional “into-work” benefits such as the Tapering of Benefits scheme).

3.2. Supplementary allowance (*‘Allowance’ Supplimentari*)

Variable name: [\[sup\]](#)

The Supplementary Allowance (‘SUP’) is a benefit for low-income persons. Claimants have to apply for this benefit every year, except those who receive an old age pension or social assistance (Section 3.1), as they qualify automatically for this benefit.

OECD note: The OECD tax-benefit model classifies this benefit in the macro-category of social assistance (variable [\[SA\]](#)).

3.2.1. Eligibility conditions

Head of households or single persons are eligible for this benefit. Applicants should be a resident of Malta for at least three months before date of application. The total assessable income (see Section 3.2.4 for details) shall not exceed:

- EUR 10 221 in the case of a head of household living alone.
- EUR 14 318 in the case of a head of household living in couple

If the total assessable income is above these thresholds the household is not eligible for the Supplementary allowance.

3.2.2. Benefit amount

- Single persons living alone: the benefit is calculated as 4.28% of the difference between EUR 21 686 and the declared income. The maximum payment for this household type is EUR 598.00 per year (EUR 11.50 per week). If the benefit amount calculated as 4.28% of the difference between EUR 21 686 and the declared income is higher than EUR 598.00 a year, the benefit paid to the recipient is EUR 598.00. Those with a reference income lower than EUR 7 710 receive the maximum payment.
- For married persons or lone parents: the benefit is calculated as 5.90% of the difference between EUR 26 346 and the declared income for those with a reference income up to EUR 12 389. If the reference income is between EUR 12 389 and EUR 14 318, the benefit is calculated as 3.0% of the difference between EUR 26 346 and the declared income. The maximum payment is EUR 1,099.28 / year (EUR 21.14 / week) for those with a reference income up to EUR 12 389, and EUR 418.60 / year (EUR 8.05 / week) for those with a reference income between EUR 12 389 and EUR 14 318. Those with a reference income lower than EUR 7 710 receive the maximum payment.
- Single persons living with others who are not their spouse and/or children: maximum annual supplementary allowance of EUR 126.36 (EUR 2.43 per week) if they are employed with earnings equal or below the statutory Minimum Wage (Section 1). *TaxBEN note:* the model does not include single persons who live with persons that are different from their partners or children. Hence, this family type is not included in the calculations

Frequency/periodicity of benefit payments: 4 payments per year.

3.2.3. Benefit duration

No limitation.

3.2.4. Means test

The assessable income includes:

- Any property/investment incomes;
- Any gross earnings of the head household and of his/her partner (if married or cohabitating), after deducting Part 1 and Part 2 employee social security contributions;
- Any income from social benefits, including unemployment benefit (Section 2.1), social assistance and related bonuses (Section 3.1), and the in-work benefit (Section 6). The only social benefits that are *not* included in the definition of income are medical assistance and injury grants.

- As the legislation does not define the housing benefit (Section 3.3) as a ‘social benefit’, this is *not* part of the assessable income. Similarly, because those who receive the Children’s Allowance (Section 4.1) are not eligible for the SUP (see section 3.2.6), the SUP is *not* included in the assessable income.
- 15.7% of the gross earnings (minus social security contributions) of any other household members. However, if the claimant is a pensioner or receives social assistance (section 3.1), only the incomes of the claimant and his/her partner are considered).

3.2.5. Tax treatment

The benefit is not taxable.

3.2.6. Interaction with other components of the tax-benefit system

Any person in receipt of social assistance (Section 3.1) or any other type of Social Security Pension or Disability Assistance are eligible for the SUP. Persons who receive the Children’s Allowance (Section 4.1) or the Disabled Child Allowance do *not* qualify for the SUP. SUP is compatible with the receipt of unemployment benefits (Section 2.1) as long as the recipient does not claim at the same time the children’s allowance (Section 4.1). Persons who are out of work and are *not* eligible for social/unemployment assistance (Section 3.1) nor unemployment benefits (Section 2.1) or any other type of Social Security Pension or Disability Assistance *cannot* claim the Supplementary Allowance.

3.3. Housing benefit (*Beneficcju tad-Djar*)

Variable name: **[HB]**

The **housing benefit on privately rented dwellings** is a non-contributory benefit, means-tested and not taxable.

The **rent element** is a non-contributory benefit, not means-tested and not taxable.

3.3.1. Eligibility conditions

The housing benefit on privately rented dwellings is paid to individuals living in rented properties provided by the private sector that are being used as ordinary houses of residences by the applicant and their families.

To be eligible for the housing benefit the claimant must meet the following eligibility conditions:

1. Be a Maltese citizen or an EU citizen. In case of married couples, one member of the couple must be a Maltese or an EU citizen;
2. Applicant and his wife/her husband have lived continually in Malta for at least 18 months preceding the date of application;
3. Must be married, single, widow/er, separated or single parent or a single person between 18-21 years leaving institutional care;
4. The applicant must have entered into an agreement with the landlord;
5. The applicant must be the recognised tenant of the property;

OECD note: the TaxBEN calculations assume that these conditions are always met.

Covid-19 measure: As a counter measure to the COVID-19 situation, the benefit has been extended to all previously ineligible employed and self-employed tenants who are required to pay rental fees and lost their jobs due to business closures during the pandemic. The extension applies to those who were already employed/self-employed

prior to the closure. The extension will be in place until 31st March 2022, however applicants who are still unemployed beyond the stipulated date will still benefit from the scheme.

3.3.2. *Benefit amount*

The amount of the “Rent Element” is 1.16 Euro per week.

The amount of the housing benefit on privately rented dwellings is based on both the annual income of the applicant and the rent paid. The following table shows for each household type the annual income ceilings and the related maximum benefit amounts:

Households	Maximum Annual Income (EUR / year)	Maximum benefit entitlement (EUR / year)
Single person	19 182	3 600
Single parent with 1 child	19 413.48	4 800
Single parent with 2 or more children	23 763.48	5 000
Two Adults without children	19 363.48	3 600
Couple with 1 child	24 163.48	4 800
Couple with 2 or more children	32 182	5 000
3 or more adults living together	28 263.48	5 000

Benefit entitlement cannot be higher than the actual rent paid. For instance, if a single person pays an annual rent of EUR 3 000, the benefit paid cannot be higher than this amount.

OECD note: housing benefit entitlements are calculated by the Housing Authority base on the information provided by the claimants in the application form. The TaxBEN model approximates final benefit entitlements using data provided directly by the Housing Authority and the Government of Malta. For more information about the precise calculations of benefit entitlements for different combinations of rent levels and household incomes, please contact directly the Housing Authority ([here](#)).

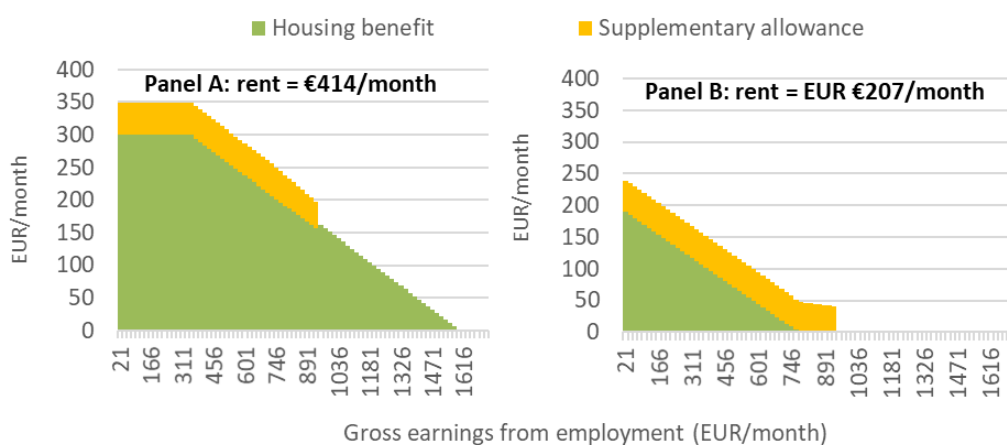
For disabled persons living on their own or within a household, the annual income should not exceed EUR 30 000.

Members of a family include the applicant and his/her spouse and his/her children living with the applicant, including fostered children, grandchildren, nephews/nieces, and stepchildren. Children must be under 18 years of age, dependent on the applicant, unmarried, and unemployed. Age is not taken into account for persons with disabilities.¹⁶

¹⁶ An additional EUR 125 per year is granted to families with a disable member. An additional EUR 125 per year is granted to families having six or more members, and an additional EUR 300 per year is granted to households who have fostered children living with them. Furthermore, single persons who: a) lived in care; or 2) were for a period of time fostered; or 3) left Corradino Correctional Facility; or 4) have successfully completed a rehabilitation/therapeutic programme, are entitled to a higher benefit until the age of 28.

Figure 1. Benefit entitlements across the earnings spectrum (EUR/month)

Full time worker without children



Source: OECD tax-benefit model, 2022.

Frequency/periodicity of benefit payments: monthly.

3.3.3. Benefit duration

No limitation.

3.3.4. Means test

The income test of the housing benefit includes the gross in-work earnings received during the preceding income year, plus any pensions and/or social benefits except the sole Children's Allowance (Section 4.1). Unemployment insurance and Special unemployment benefits (Section 2.1) as well as Social Assistance and related bonuses (Section 3.1), Supplementary Allowance (Section 3.2) and In-work benefit (Section 6) are all classified as 'social benefits' and are therefore included in the means test. Employee social security contributions are *not* deducted from the gross in-work earnings when assessing eligibility for the housing benefit.¹⁷ Income received from capital assets, e.g. bank deposits and stocks, during the last calendar year are included in the means test.

In the case of couples, the gross incomes of both partners are included in the calculation.

Adult children (above 18) who live in the same household are not considered for the housing benefit, unless they are disabled. Other persons who are above 17 and are not the claimant or his/her spouse are also not considered in terms of the number of members residing in the household. For separated persons, any alimony paid by the applicant to his/her former spouse is deducted from the person's gross annual income in the calculation for housing benefits.

3.3.5. Tax treatment

This benefit is non-taxable.

3.3.6. Interaction with other components of the tax-benefit system

It is possible to receive the housing benefit together with other benefits.

In order to be eligible for the "rent element" the person must be entitled to a non-contributory benefit, including the social/unemployment assistance (Section 3.1) and

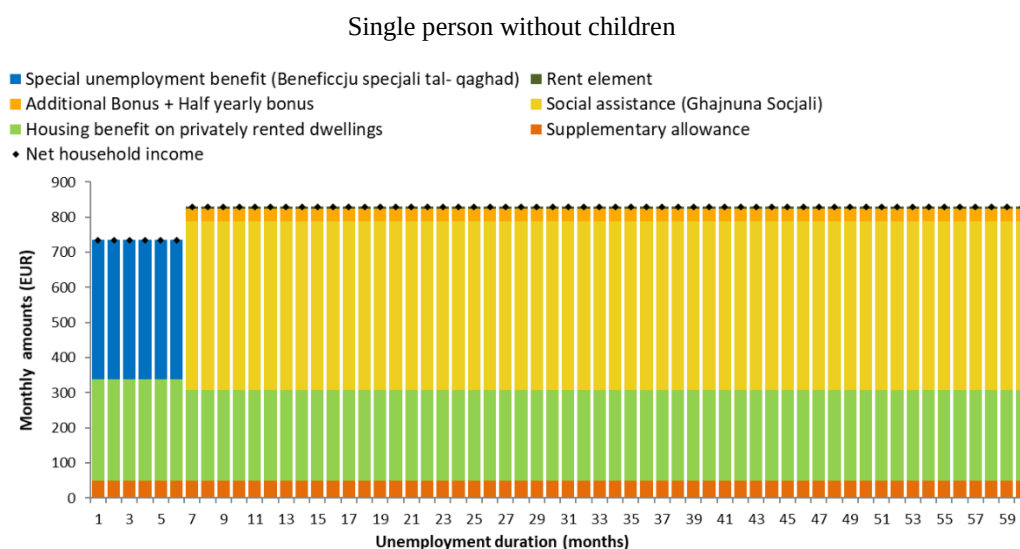
¹⁷ More details on the relevant income sources that enter the means test can be found [here](#).

old age pensions. Those receiving the unemployment benefits described in Section 2.1 are not entitled to the rent element.

3.3.7. Combining benefit receipt and employment/starting a new job

The rent element is not compatible with work activities whereas the housing benefit is compatible with work activities as long as the claimant meets the relevant income conditions. These benefit programmes do not provide any specific financial work incentives to out of work recipients who take up employment.

Figure 2. Evolution of income components during the unemployment spell, EUR/month



Note: Results refer to a jobseeker of 40 years old without children. Jobseekers receiving UB or SUB (blue area) can apply for Social Assistance (yellow area) only after exhaustion of their UB/SUB entitlements. Calculations assume a “long” (22 years) employment record before the unemployment spell. Any waiting period is ignored. Analytical notes: (a) The Supplementary allowance (dark orange bars) is compatible with the receipt of both SUB (blue bars) and SA (yellow bars). (b) SUB recipients (blue bars) are not eligible for the ‘Additional bonus’ and the ‘half-year’ bonus (light orange bars), only SA recipients are eligible for these bonuses. Thus, these bonuses appear in the chart only after SUB expires. (c) The ‘Additional bonus’ and the ‘half-year’ bonus are included in the income test of the housing benefit. This explains why the HB amount is lower after 6 months of unemployment, i.e. when the SUB expires and the person start receiving SA + bonus.

Source: OECD tax-benefit model, 2022.

4. Family benefits

4.1. Children’s allowance (Allowance tat-Tfal)

Variable name: **[FB]**

This is a non-contributory benefit, means-tested and not taxable.

4.1.1. Eligibility conditions

All households having a child whose age is 16 or less is entitled to this benefit. In order to continue to receive the Children’s Allowance, the beneficiary must submit an annual income declaration.

On a general level, Children’s Allowance is provided to those eligible households whose children are below 16 years old. In addition, households with children between 16 and 21 years and attending full-time education and receiving no remuneration might be eligible for Children’s Allowance. Children within the same age bracket who are

registering for work for the first time and are living in households where the total income does not exceed EUR 25409 are also entitled to the Children's Allowance.

4.1.2. *Benefit amount*

Eligibility to the Children's Allowance depends on the household income (Section 4.1.4) and the number of children below 21 years of age who live in that household.

If the total income of parents does not exceed EUR 25 409 per year, the annual benefit payable is equivalent to a percentage of EUR 25 409 *less* the reference income of the parents (section 4.1.4). If the reference income is below EUR 6 145 per year, this is considered as EUR 6 145 (so if the income is precisely zero this enters the calculations as EUR 6145).¹⁸ The percentages depend on the number and age of children:

- 6.5% for each child under 16 years of age;
- 2% for a child who is over 16 years but under 21 years and still undergoing full time education or training in an educational institution recognised by the government and who is not receiving any form of remuneration or allowance;
- 2% for a child who is over 16 years but under 21 years and is registered as unemployed, who has never been gainfully occupied and who is not in receipt of any benefit pension or assistance payable under the Social Security Act (Cap. 318).

The minimum allowance payable is EUR 450 per year per child.

For families with four or more children, the maximum income of the parents taken into account for the computation of the children's allowance is EUR 30 911 per year. In such cases if the parents earn more than EUR 30 911 they receive EUR 450 per year for each child under 16 years of age.

As of 1st January 2021, families receiving the Children's Allowance receive an additional supplement whose amount depends on the reference household income (section 4.1.4). If the reference income exceeds the threshold of EUR 25 409, the supplement is EUR 50 per child per year. If the household income is below the threshold the family receives EUR 70 per child per year. Fostered children are not eligible to this supplement.

Frequency/periodicity of benefit payments: 4 payments per year.

4.1.3. *Benefit duration*

As long as the eligibility conditions hold.

4.1.4. *Means test*

The benefit is means-tested.

The amount of social security contributions paid during the previous year is deducted from the declared income before the children's allowance amount is calculated. Income taxes are *not* deducted. Unemployment insurance (Section 2.1), Social Assistance (Section 3.1), Supplementary allowance (Section 3.2), and the In-work benefit (Section 6.1) are all included in the income test. The Housing Benefit (section 3.3) does not form part of the means testing for Children's Allowance.

¹⁸ Let us consider a lone parent with one dependent children and no incomes. This person will receive the maximum Children's allowance, which is calculated as $(25409-6145)*0.065 = 1,252.16$ EUR per year, or 104.35 EUR per month.

TaxBEN notes: The income test is carried out on current year's income rather than previous year's income.

4.1.5. Tax treatment

The benefit is not taxable.

4.1.6. Interaction with other components of the tax-benefit system

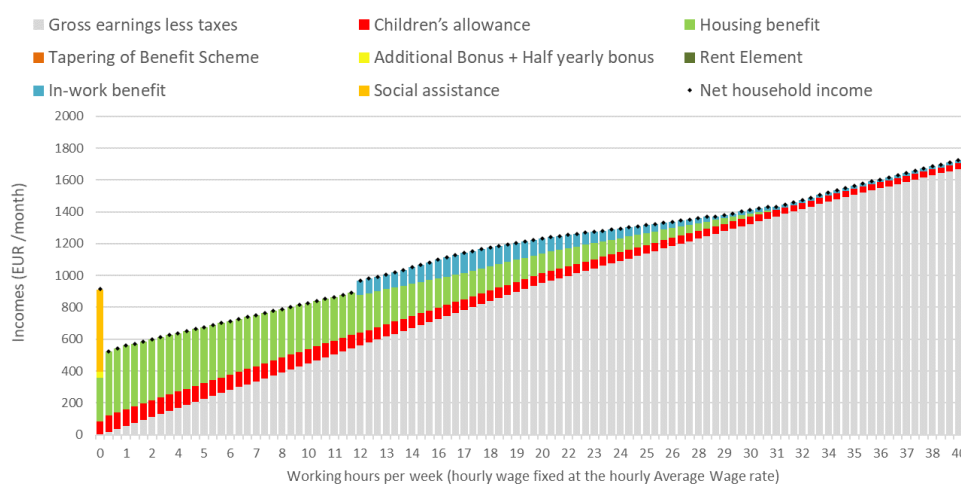
The benefit can be received together in any other benefit.

4.1.7. Combining benefit receipt and employment/starting a new job

Employment does not affect benefit receipt.

Figure 3. Benefit support for lone parents with one child

By weekly working hours (including 'zero' working hours)

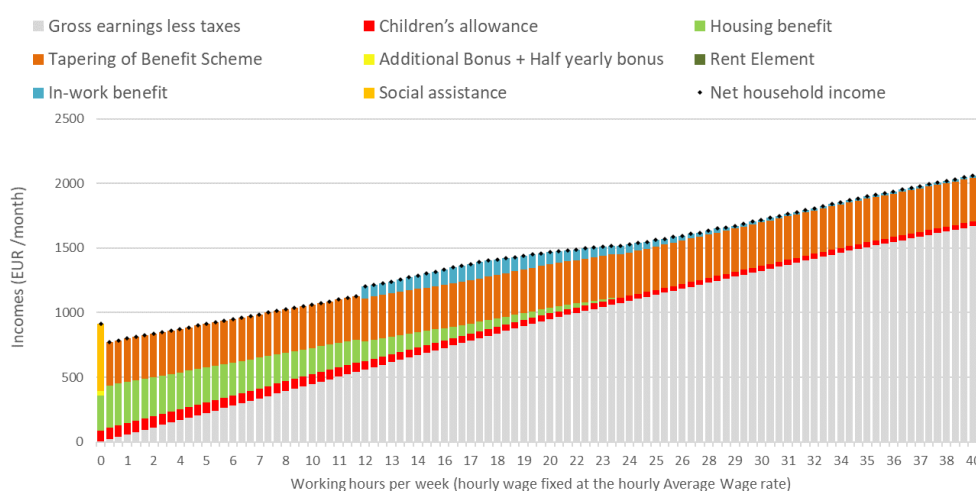


Note: Results refer to lone parents of 40 years old with one child of 4 years old. Calculations assume a fixed/constant hourly wage rate equal to the average hourly wage rate in 2022 (Section 1). The calculations for positive working hours (i.e. all except the 'zero' working hours point), assume 60 months in employment *without interruptions* for each selected hours. This means that persons with positive working hours are *not* eligible for the Tapering of Benefits scheme, whose maximum duration is 3 years. The calculations for the 'zero' working hours refer to a situation where the lone parent is out of work, does not receive UIB/SUB (Section 2.1) but claims SA/UA plus associated bonuses. The calculation of the housing benefit entitlements assume housing costs equal to 20% of the annual full-time average wage (section 1) across the full range of working hours.

Source: OECD tax-benefit model, 2022.

Figure 4. Benefit support for a lone parent with one child

By weekly working hours (including 'zero' working hours)



Note: Results refer to a lone parent of 40 years old with one child of 4 years old. Calculations assume a fixed/constant hourly wage rate equal to the average hourly wage rate in 2022 (Section 1). The calculations for positive working hours (i.e. each point except the 'zero' working hours point), assume 6 months in the new employment, which means that those with positive working hours are eligible for the Tapering of Benefits scheme at 65% rate. The calculations for the 'zero' working hours refer to a situation where the lone parent is out of work, does not receive UIB/SUB (Section 2.1) but claims SA/UA plus associated bonuses. Note that this SA amount is the reference value that enters the calculation of the Tapering of Benefits scheme amounts shown in the other data points of the figure. The calculation of the housing benefit entitlements assume housing costs equal to 20% of the annual full time average wage (section 1) across the full range of working hours.

Source: OECD tax-benefit model, 2022.

5. Net costs of Early Childhood Education and Care

Compulsory school in Malta starts at 5 years. The majority of children attend a pre-primary school at the age of 3 to 4 years, although this is not compulsory.

5.1. Gross childcare fee

Variable name: `[cc_cost]`

Public childcare centres in Malta are under the responsibility of the Foundation for Educational Services (FES), which is a public entity within the Ministry for Education.

Childcare fees in public childcare centres depend on the 'combined' family income (see Table below for the 2022 rates and income thresholds). The 'combined' family income is the overall gross household income before deducting income tax and social security contributions. Incomes from social benefits are taken into consideration, including the benefits described in Section 2, 3, 4 and 6 as well as the Tapering of Benefit scheme.

Table 1. Childcare fees charged by the Foundation for Educational Services (FES)

Income bracket	Combined family income (EUR / year)	Fixed monthly contribution	Payment based on use, by number of days per week (EUR)				
			1 day	2 days	3 days	4 days	5 days
1	0 – 10 000	Nil	nil	nil	nil	nil	Nil
2	10 001 – 12 000	40	2	2	2	2	2
3	12 001 – 14 500	65	3.25	3.25	3.25	3.25	3.25
4	14 501 – 19 500	90	4.5	4.5	4.5	4.5	4.5
5	19 501 – max	150	7.5	7.5	7.5	7.5	7.5

Note: FES centres do not charge parents for any registration fees and they do not provide a regular food service. Centres operate between 7:30 and 16:00. As of April 2014,

parents/guardians who are either in work or in education and have a child between 3 and 36 months of age can benefit from the Free Childcare Scheme (FCS).¹⁹ Parents/guardians who enrol their child in a childcare centre accredited with the FCS do not pay any fees for the care service. Centres can charge only a 'reasonable' one-off registration fee and for regular food service. However, FES centres do not charge any one-off registration fee and do not provide a regular food service: parents provide for the lunch by themselves whereas the centre provides only a portion of cereals (free of charge). FCS stops when the child is eligible for Kindergarten 1 at the age of three, which is provided free of charge by the State. As per 2022 Budget speech, the FCS will be extended to parents/guardians working late hours, shifts and weekends.

All public childcare centres administrated by FES are accredited for the FCS.

FCS does not place any limits to the number of applicants. All applicants that are offered a place at any of the childcare centres participating in the FCS will be accepted, as long as they fulfil the Scheme's eligibility criteria. However, some centres may have a waiting list that depends on the number of children enrolled in the centre and the national standards for Child Day Care Facilities (e.g. the adult-to-child ratios and the space required per child).

Entitlement to the FCS is based on the number of hours worked by one of the parents/guardians. For instance, if one of the parent works 20 hours a week, the monthly average work hours are calculated as 86.7 hours a month (20 hours * 52 weeks / 12 months). Married or cohabiting couples where both parents/guardians work have to declare the hours of the parent/guardian that work fewer hours. To account for unforeseen exigencies, the beneficiary is entitled also to an additional 10% of the declared working hours per month, as well as 20 additional hours per month to account for commuting time. In the case of the example above, the total entitlement would be 86.7 hours + 10% of 86.7 + 20 hours = 115 hours of free childcare per month.²⁰

The table below shows the coverage rate of the Free Childcare Scheme for the year 2021/2022 (latest available data).

Age of the child on 1st Jan 2021 or on start date in Year 2021	Number of Children using the FCS	Total population by age on 1 st Jan 2021	Coverage rate
0 to 12 months	1893	4409	42.9%
13 to 24 months	2909	4453	65.3%
25 to 36 months	2707	4796	56.4%

Source: Ministry for Finance and Employment (MFE).

TaxBEN note: The calculations for Malta assumes that children between 1 and 3 years (included) attend one of the public childcare centres accredited with the Free Childcare Scheme. As a result, parents do not pay any fees for the care service and the enrolment. The cost of the meals is also nil as public childcare centres in Malta do not provide food on a regular basis.

¹⁹ Parents 'in work' are those who are either employed or self-employed and pay social security contributions. 'Parents in education' are those who are pursuing their education, leading to a recognised qualification. For married or cohabiting couples *both* parents should be in employment or studying in a recognised institution in order to benefit from the FCS. The scheme applies also to parents who are not in employment due to terminal illnesses. More information on the FCS can be found at the link: <https://education.gov.mt/en/resources/News/Documents/FCS-ServiceUsers-TCs-271217.pdf>

²⁰ Those who work irregular hours have to provide the childcare centre with the average number of hours you would normally expect to work during the month. Part-time students are eligible for 20 hours a week, while full-time students are eligible for 40 hours a week.

5.1.1. *Gross childcare fees for part-time use*

There is no distinction between full time and part time use of childcare service. FES charge fees only according to the gross combined family income and based on the number of days of attendance per week (as shown in the table above). The effective hours of attendance per day are not relevant.

5.2. *Childcare benefits*

Variable name: `[cc_benefit]`

5.2.1. *Fee discounts and free provision*

The tariffs charged by the FES differ only according to the gross combined family income.

The FES does not apply special tariffs depending on the economic activity status of the parents. However, if one or both parents are unemployed, the combined family income will be in the first income bracket (table 1) and, as a result, the childcare tariff would be zero.

The FES does not apply special tariffs for families with three or more children or for families where more than one child attends a childcare centre (e.g. discounts for siblings attending the same centre).

5.2.2. *Child-care benefits for formal centre-based care*

There is no child care benefit whose eligibility is conditional on the use of childcare services in child care centres.

5.2.3. *Child care allowance for children not using child care centres*

There is no child care allowance whose eligibility is conditional on NOT using childcare services, i.e. conditional on providing care at home (e.g. “home-care” allowances).

5.2.4. *Tax concessions for childcare expenditures*

Parents who paid childcare fees for their children below the age of 12, are eligible for a deduction equal to the lower of EUR 2 000 for every child or the amount of fees paid.

OECD note: As employed parents are eligible for the Free Childcare Scheme (the scheme implemented in the TaxBEN model), this tax concession applies only to children enrolled in *private* childcare centres that are not registered under the Department for Social Welfare Standards. For this reason, this tax concession is not included in the TaxBEN calculations.

6. *Employment-conditional benefits*

6.1. *In-Work Benefit (Beneficċju ta' Waqt l-Impjieġ)*

Variable name: `[IW_fam]`

This is a non-contributory benefit, means-tested and not taxable.

6.1.1. *Eligibility conditions*

- (1) This benefit is paid to families where both parents are in employment, have children under the age of 23 years living with them and whose combined annual income/net profit from a gainful occupation is between EUR 10 000 and EUR 50 000. The annual earnings/net profit for one parent working part-time must not be less than

EUR 3 000. Such families receive a maximum benefit of EUR 1 500 per child per year. Couples earning between EUR 35 000 and EUR 50 000 are eligible to receive an annual amount of EUR 200 per child.

- (2) Single parents in employment with children under the age of 23 living with them and whose annual earnings/net profit from a gainful occupation is between EUR 6 600 and EUR 35 000 are also eligible to receive the In-Work Benefit. These persons receive a maximum In-Work Benefit of EUR 1 500 per child per year. Single parents earning between EUR 23 000 and EUR 35 000 are eligible to receive an annual amount of EUR 200 per child.
- (3) As of 2016, the In-Work benefit became available also to families where only one parent is in employment, have children under the age of 23 years living with them, and whose annual earnings are between EUR 6 600 and EUR 35 000. Such families receive a maximum In-Work Benefit of EUR 730 per child per year. Those earning between EUR 26 000 and EUR 35 000 are eligible to receive an annual amount of EUR 200 per child.

6.1.2. *Benefit amount*

The benefit amount depends on household composition and income. A detailed table showing the weekly In-Work Benefit entitlement for persons, categorised by their annual income, can be found in Annex 2.

TaxBEN note: when both parents are in employment the amount of in-work benefit received by each parent is equal to the share of their gross earnings relative to the overall amount of gross earnings made by both parents.

Frequency/periodicity of benefit payments: 4 payments per year.

6.1.3. *Benefit duration*

No limitation

6.1.4. *Means test*

The benefit is means-tested.

The income taken into account to assess eligibility is the gross income from employment of the two spouses less the related employee social security contributions.

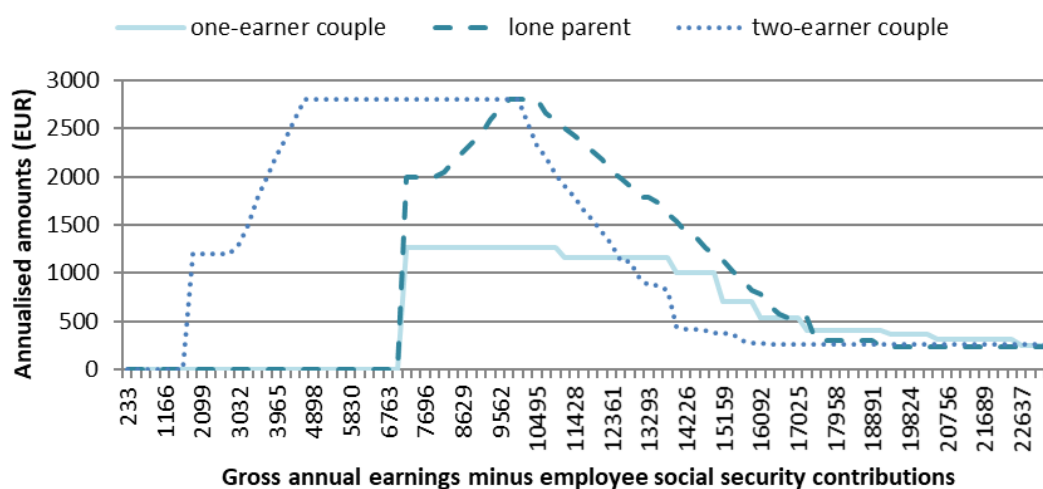
6.1.5. *Tax treatment*

The benefit is not taxable.

6.1.6. *Interaction with other components of the tax-benefit system*

None. The benefit does not interact with any other component of the tax and benefit system. Amounts depend only on the gross earnings less the related employee social security contributions.

Figure 4. Amount of the in-work benefit by earnings levels and family type



Note: Benefit entitlements are expressed in annualised terms (i.e. monthly entitlement multiplied by 12). Results for families with two children of 4 and 6 years old. For the two-earner couple, results assume that the second earner works full time with annual gross earnings equal to the minimum wage.

Benefit entitlements for a lone parent working full time at the minimum wage (Section 1) are lower than the maximum in-work benefit amount as the employee social security contributions are subtracted from the gross earnings when calculating benefit entitlements.

Source: OECD tax-benefit model, 2022.

7. Social security contributions and payroll taxes

7.1. Social security contributions

Variable names: `[SOCSEC_p; SOCSEC_s; SSCR_p; SSCR_s]`

SSC rates are based on the when the person was born and on the weekly gross earnings:²¹

Persons born up to 31st December 1961 (i.e. persons who are older than 60 years in 2022):

Weekly Wage		Weekly rate paid			
From (EUR)	To (EUR)	by Employee	by Employer	Total	For maternity
0.10	182.83	18.28* EUR	18.28 EUR	36.56 EUR	0.55 EUR
182.84	378.98	10%	10%	20%	0.3%
378.99	n/a	37.90 EUR	37.90 EUR	75.80 EUR	1.14 EUR

Persons born after 31st December 1961:

Weekly Wage		Weekly rate paid			
From (EUR)	To (EUR)	by Employee	by Employer	Total	For maternity**
0.10	182.83	18.28* EUR	18.28 EUR	36.56 EUR	0.55 EUR
182.84	499.73	10%	10%	20%	0.3%
499.74	n/a	49.97 EUR	49.97 EUR	99.94 EUR	1.50 EUR

* Or 10% of the basic weekly wage if the employee opts for this option.

** Private-sector employers are obliged to pay the Maternity Fund Contribution for every male and female employee (full-time, part-time, or casual workers).

TaxBEN note: the model uses the rates that apply to employees born after 31st December 1961.

²¹ The following link summarises Malta's social security contributions:
<https://cfr.gov.mt/en/rates/Pages/SSC1/SSC1-2022.aspx>

8. Taxes

Each person is considered individually for tax purposes unless the person is married and living together with his/her partner and opting for a married rate tax computation. Income tax is worked out depending on whether a person would like to have a single rate computation, a married rate computation or a parent rate computation.

8.1. *Personal income tax*

Variable name: `[IT_p; IT_s]`

8.1.1. *Tax base*

All persons having income arising in Malta together with those persons who are ordinarily resident and domiciled in Malta are liable to pay tax as per tax rates indicated below. All types of income are to be included in the tax computation, except unemployment assistance, housing benefit, children's allowance and social assistance for lone parents

8.1.2. *Income tax schedule*

Each person is considered individually for tax purposes unless the person is married and living together with his/her partner and opting for a married rate tax computation. There are no tax deductions or allowances for partners or spouses. At a national level, unmarried partners cannot avail themselves of the married tax computation rates. In addition, unused portions of tax deductions or allowances are not transferable between partners or spouses.

Single rate computation – these rates apply to all single persons and also to married persons who consider the single rate computations as more advantageous to their situation.

Married rate computation – couples who are married and living together may opt to have their income taxed using the married rates. Single parents may also opt to use these rates. In this regard, unmarried individuals, widowed or separated persons who maintain a child may compute their tax by applying the married tax rates instead of the single rates.

Parent rate computation – these rates may be used by persons who are parents irrespective of whether they are legally married or not. All parents supporting children (up to 18 years) who are not in employment will be eligible for this rate. If children are still in tertiary education, the age limit is extended to 21 years. This rate may only be used when both parents work.

When the person decides which rates to use, one must identify the wage bracket of his/her income, multiply the income by the identified tax rate and subtract the answer by the amount indicated in the 'Subtract' column. The final answer is the amount of tax that is due by the person.

Persons with earning up to the national minimum wage (Section 1) are exempted from income tax payments, even if the calculations described in this section lead to a positive tax liability. This exemption only applies for individual taxpayers. Hence, in case of joint taxation, even if the person is earning below the minimum wage their income is nonetheless included with their spouses when the tax is compiled.

Below are tables showing the rates for the three types of available computations.

Single computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 - 9,100	0	0
9,101 - 14,500	0.15	1,365
14,501 - 19,500	0.25	2,815
19,501 - 60,000	0.25	2,725
60,001 & over	0.35	8,725

Married computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 - 12,700	0	0
12,701 - 21,200	0.15	1,905
21,201 - 28,700	0.25	4,025
28,701 - 60,000	0.25	3,905
60,001 & over	0.35	9,905

Parent computation tax rates

Chargeable income (€)	Tax rate	Subtract
0 - 10,500	0	0
10,501 - 15,800	0.15	1,575
15,801 - 21,200	0.25	3,155
21,201 - 60,000	0.25	3,050
60,001 & over	0.35	9,050

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Malta 2022 (Figure 5). TaxBEN by default produces the following output: 1) net household incomes (**black lines**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (e.g. a lone parent working at different earnings levels with two children aged 4 and 6 respectively – users are free to select many of these circumstances using the [online web calculator](#)). Figure 3 shows outputs for four scenarios:

- By percentage of the average wage (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas shows the household income components. Note that each component can contain more than one benefit. The table of content of this report describes which benefit is included in each category.

Results in Figure 3 refer to a couple with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one of the two adult members (the ‘second adult’, using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (so-called ‘first adult’) is employed full-time and full-year at different earnings levels ranging between 0 and 200% of the Average Wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits but claiming social assistance, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x axis in Panel B measures the time of benefit receipt, starting from the first month. The x axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt whereas Panel D consider the case of previous earnings equal to the average wage. Previous earnings in Panel B are also equal to the average wage.

All results assume a private market rent plus other relevant charges amounting to 20% of the full-time average wage in all the four scenarios.

Figure 5. Selected output from the OECD tax-benefit model

Couple with two children.



Note:

1. Section 9 provides more information on the simulation settings that apply to the four panels.
2. Benefit entitlements are expressed in annualised terms (i.e. monthly amount multiplied by 12).
3. Panel A shows that there are positive SA entitlements at very low earnings levels. This result depends on the fact that the non-working person of the couple claims the SA benefit. SA is then progressively withdrawn with the increase of the household income driven by the higher earnings of the working partner.

4. TaxBEN uses the following order when calculating benefit entitlements and tax liabilities: a) social security contributions; b) unemployment insurance (Section 2.1); c) In-work benefit (Section 6.1); d) Social Assistance and related bonuses (Section 3.1); e) Supplementary allowance (Section 3.2); f) Housing benefit (Section 3.3); g) Children's Allowance (Section 4); h) Income tax. The ordering may affect the calculation of means tested benefits. For instance, as the calculation of Social Assistance comes before the calculation of the Housing Benefit, the means test of Social Assistance will not consider the amount of Housing Benefit received, whereas the means test of the Housing benefit will include the amount of Social Assistance where applicable.

Source: [OECD tax-benefit model, 2022](#).

Annex 1: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Malta that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

A.1.1. *Subsidiary Unemployment Assistance*

This benefit is paid to registered immigrants who enjoy Subsidiary Protection and who are unemployed. The rate varies according to the composition of the household and is means tested. A single person living on his own receives 111.18 Euros per week (481.83 Euros per month), with an additional 8.15 Euros paid for each additional person if living as a family. In households containing more than one eligible person, those who qualify will be entitled to 75% of the abovementioned amount (i.e. 83.39 Euros per week or 361.37 Euros per month).

A.1.2. *Supplementary allowance for older worker*

Supplementary allowance is given to single persons who have reached the age of 65, are living on their own and whose annual income does not exceed 10,221.00 Euros, excluding Social Security contributions paid. When the income is less than 7,710.00 Euros, the assessment is based on 11.50 Euros per week (49.84 Euros per month). When the income is higher than 7,710.00 Euros, the assessment is based on 4.28 % of the difference between 21,686.00 Euros and total income declared. An additional supplement of 150.00 Euros is paid to all recipients. Hence, the maximum payment is 748.00 Euros yearly.

Married persons who have reached the age of 65 and whose annual income does not exceed 12,389.00 Euros, excluding Social Security contributions, are entitled to a maximum allowance of 21.14 Euros per week (91.63 Euros per month). The assessment is based on 5.90% of the difference between 26,346.00 Euros and total income declared (if individual's annual income is lower than 7,710.00 Euros then their income is taken to be 7,710.00 Euros). An additional supplement of 150.00 Euros is also paid to these recipients, resulting in a maximum annual payment of 1,249.28 Euros. This form of supplementary allowance is also payable to single parents with income not exceeding 12,389.00 Euros and who are not eligible to receive Children's Allowance.

Furthermore, married persons who have reached the age of 65 and whose annual income is between 12,389.00 Euros and 14,318.00 Euros, excluding Social Security contributions, are eligible to receive an allowance equivalent to 3.0% of the difference between 26,346.00 Euros and the total income declared, along with the additional supplement of 150.00 Euros. Therefore, such persons are eligible to receive a maximum annual payment of 568.60 Euros. This form of supplementary allowance is also payable to single parents within the same income bracket and who are not eligible to receive Children's Allowance.

A.1.3. *Carers Allowance*

The Carers Allowance is payable to single, married, in civil union, or cohabiting persons over the age of 18 and under retirement age who are taking care of a relative (spouse or parent; brother or sister; grandparent; uncle; aunt; father or mother-in-law or brother or sister-in-law) on a full-time basis and who is living in the same household. The maximum weekly entitlement is 97.97 Euros.

If the applicant was employed prior to applying for the Carers Allowance he/she will be entitled to credited Social Security Contributions if: (i) not less than 156 contributions have been paid by the applicant and (ii) the applicant, for each year since the age of 18, has paid or been credited with an average of at least 20 contributions.

A.1.4. *Drug Addicts Assistance*

Such allowance may be given to any person following a drug or alcohol rehabilitation therapeutic programme. The only exception is when the applicant is sent to the therapeutic community as a result of a court sentence.

In order to qualify for the Drug Addicts Assistance, the applicant must fill the relevant form and return it to the Social Security District Office. Documentary evidence showing that the claimant is following a therapeutic programme for substance abuse must be provided. All incoming claims are verified and income tests are carried out in order to establish whether the applicant is entitled to the benefit or not.

The receipt of the benefit is stopped whenever the person leaves the therapeutic programme before completion.

The rate is that of 40.00 Euros weekly (173.33 Euros per month). No bonuses are paid as part of this benefit.

A.1.5. *Increased Carers Allowance*

Replacing the Carer's Pension in 2017, the Increased Carers Allowance is payable to single, married, in civil union or cohabiting persons over the age of 18 and under retirement age who are taking care of a relative (spouse/partner or parent; brother; sister; grandparent; uncle; aunt; father or mother-in-law or brother or sister-in-law) on a full-time basis and who is living in the same household. The relative in question needs to first go through an assessment based on the Barthel Index or the Mini-Mental State Examination, unless he/she is over the age of 85 at which point the allowance is paid automatically.

The benefit is non-means tested. If the applicant was employed prior to applying for the Increased Carers Allowance he/she will be entitled to credited Social Security Contributions if: (i) not less than 156 contributions have been paid by the applicant and (ii) the applicant, for each year since the age of 18, has paid or been credited with an average of at least 20 contributions.

The allowance is paid at a maximum rate of 151.07 Euros per week.

A.1.6. *Disabled Child Allowance*

The Disabled Child Allowance is given to children who are certified to be suffering from a physical and/or mental disability. This benefit is over and above the Children's Allowance which has been referred to in section 4. This allowance is paid for each child with a disability residing within the same household.

The application for such benefit must reach the Department of Social Security within six months from the birth of the child. In addition, a medical report by a doctor certifying the disability of the child must be included in the application. As from 2008, this allowance is no longer means tested and the rate is of 25.00 Euros per week (108.34 Euros per month).

A.1.7. *Maternity Benefit*

In order to be eligible to such benefit the claimant must be in her eighth month of pregnancy or has given birth to a child in the six month prior to the date of claim. In addition, the applicant must not be availing herself of maternity leave. The payment is of 101.34 Euros per week, or 182.83 Euros per week for self-occupied persons, for a maximum of 14 weeks.

A.1.8. *Maternity Leave Benefit*

The Maternity Leave Benefit is payable to employed women who have recently given birth and have availed themselves of their full maternity leave entitlement. This benefit is also available to self-occupied women who have recently given birth and are eligible to receive a Maternity Benefit. The Maternity Leave Benefit is paid for a maximum of four weeks at a rate of 182.83 Euros per week.

A.1.9. *Adoption Benefit*

The benefit is payable for a maximum of 14 weeks to any person who adopts a child. The applicant must not have already availed themselves of paid adoption leave and is paid at the same rate as the Maternity Benefit (101.34 Euros per week). Self-occupied persons are also eligible to receive the Adoption Benefit, paid at a weekly rate of 182.83 Euros

A.1.10. *Adoption Leave Benefit*

The Adoption Leave Benefit is payable to persons who have recently adopted a child and have availed themselves of more than 14 weeks of adoption leave. This benefit is also available to self-occupied persons. The Adoption Leave Benefit is paid for a maximum of four weeks at a rate of 182.83 Euros per week.

A.1.11. *Foster Care*

This benefit is paid for fostered children who are up to 18 years, or 21 years if child is staying in a residential home, and not in gainful employment or in receipt of a stipend. The payment is of 110.00 Euros per week (476.70 Euros per month) for each child.

A.1.12. *Sickness Benefit*

Every employed person under retirement age is eligible to receive a Sickness Benefit (SB) from the Department of Social Security (DSS) from the 4th day of sickness onward (the first 3 days are covered by the employer). The DSS must receive a medical certificate, completed by a medical practitioner, within 10 days from the 1st day of sickness. The medical certificate needs to be renewed every 2 weeks for long-term sickness periods (longer than 14 days).

To be eligible to the benefit, claimants need to have paid a minimum of 50 Class 1 or 2 social security contributions with 20 being paid or credited during the last 2 years.

Persons who are either (i) married or in a civil union (spouse not working FT), (ii) legally separated but still financially supporting their ex-spouse, or (iii) a single parent having the care and custody of their child are eligible to receive the daily married SB rate of EUR 21.85.

On the other hand, persons who are either (i) single, (ii) married or in a civil union (spouse working FT), (iii) legally separated and not financially supporting their ex-

spouse, or (iv) a single parent not having the care and custody of their child are eligible to receive the daily single SB rate of EUR 14.15.

SB is paid for every day except Sundays and public holidays, hence maximum monthly payments for married and single rates are EUR 589.95 and EUR 382.05 respectively.

SB is payable up to maximum of 156 consecutive days but may be extended up to 468 days for a period of 2 years following a Medical Board's decision.

Annex 2: In-Work Benefit rates

Rates that apply in the OECD TaxBEN calculation for 2022:

SINGLE PERSON		MARRIED BOTH PERSONS IN EMPLOYMENT		MARRIED WITH ONE PERSON IN EMPLOYMENT	
Annual earnings limit intervals (EUR)	Weekly amount per child (EUR)	Annual earnings limit intervals (EUR)	Weekly amount per child (EUR)	Annual earnings limit intervals (EUR)	Weekly amount per child (EUR)
6600.00 - 7511.99	21.15	10000.00 - 11211.99	13.46	6600.00 - 10312.99	14.04
7512.00 - 7611.99	21.63	11212.00 - 11311.99	14.42	10313.00 - 12812.99	13.08
7612.00 - 7711.99	22.11	11312.00 - 11411.99	15.38	12813.00 - 13812.99	11.63
7712.00 - 7811.99	22.59	11412.00 - 11511.99	16.35	13813.00 - 14812.99	8.75
7812.00 - 7911.99	23.07	11512.00 - 11611.99	17.31	14813.00 - 15812.99	7.11
7912.00 - 8011.99	23.55	11612.00 - 11711.99	18.27	15813.00 - 17812.00	5.86
8012.00 - 8111.99	24.04	11712.00 - 11811.99	19.23	17813.00 - 18812.99	5.38
8112.00 - 8211.99	24.52	11812.00 - 11911.99	20.19	18813.00 - 20812.99	4.80
8212.00 - 8311.99	25.00	11912.00 - 12011.99	21.15	20813.00 - 25999.99	4.23
8312.00 - 8411.99	25.48	12012.00 - 12111.99	22.12	26000.00 - 35000.00	3.85
8412.00 - 8511.99	25.96	12112.00 - 12211.99	23.08		
8512.00 - 8611.99	26.44	12212.00 - 12311.99	24.04		
8612.00 - 8711.99	26.92	12312.00 - 12411.99	25.00		
8712.00 - 8811.99	27.40	12412.00 - 12511.99	25.96		
8812.00 - 8911.99	27.88	12512.00 - 12611.99	26.92		
8912.00 - 9011.99	28.36	12612.00 - 12711.99	27.88		
9012.00 - 9911.99	28.84	12712.00 - 17911.99	28.85		
9912.00 - 10011.99	27.50	17912.00 - 18011.99	26.35		
10012.00 - 10111.99	27.11	18012.00 - 18111.99	25.77		
10112.00 - 10211.99	26.73	18112.00 - 18211.99	24.23		
10212.00 - 10311.99	26.34	18212.00 - 18311.99	23.65		
10312.00 - 10411.99	25.96	18312.00 - 18411.99	23.08		
10412.00 - 10511.99	25.57	18412.00 - 18511.99	22.50		
10512.00 - 10611.99	25.19	18512.00 - 18611.99	21.92		
10612.00 - 10711.99	24.80	18612.00 - 18711.99	21.35		
10712.00 - 10811.99	24.42	18712.00 - 18811.99	20.77		
10812.00 - 10911.99	24.04	18812.00 - 19011.99	20.19		
10912.00 - 11011.99	23.65	19012.00 - 19211.99	19.04		
11012.00 - 11111.99	23.27	19212.00 - 19411.99	17.88		
11112.00 - 11211.99	22.88	19412.00 - 19611.99	16.73		
11212.00 - 11311.99	22.50	19612.00 - 19811.99	15.58		
11312.00 - 11411.99	22.11	19812.00 - 20111.99	14.42		
11412.00 - 11511.99	21.73	20112.00 - 20411.99	12.69		
11512.00 - 11611.99	21.34	20412.00 - 20711.99	10.96		
11612.00 - 11711.99	20.96	20712.00 - 21011.99	10.38		
11712.00 - 11811.99	20.57	21012.00 - 21311.99	9.81		
11812.00 - 11911.99	20.19	21312.00 - 21611.99	6.15		
11912.00 - 12061.99	19.80	21612.00 - 21911.99	5.96		
12062.00 - 12211.99	19.04	21912.00 - 22211.99	5.77		
12212.00 - 12361.99	18.65	22212.00 - 22511.99	5.58		
12362.00 - 12511.99	17.88	22512.00 - 22811.99	5.38		
12512.00 - 12661.99	17.50	22812.00 - 23111.99	4.81		
12662.00 - 12811.99	16.73	23112.00 - 23411.99	4.62		
12812.00 - 12961.99	16.34	23412.00 - 34999.99	4.42		
12962.00 - 13111.99	15.57	35000.00 - 50000.00	3.85		
13112.00 - 13261.99	15.19				
13262.00 - 13411.99	14.42				
13412.00 - 13561.99	14.04				
13562.00 - 13711.99	13.27				

13712.00 - 13861.99	12.88				
13862.00 - 14011.99	12.11				
14012.00 - 14161.99	11.73				
14162.00 - 14311.99	10.96				
14312.00 - 14461.99	10.57				
14462.00 - 14611.99	9.80				
14612.00 - 14761.99	9.42				
14762.00 - 14911.99	8.65				
14912.00 - 15061.99	8.27				
15062.00 - 15211.99	7.50				
15212.00 - 15361.99	7.11				
15362.00 - 15511.99	7.11				
15512.00 - 15661.99	7.11				
15662.00 - 15811.99	7.11				
15812.00 - 15961.99	4.80				
15962.00 - 16111.99	4.80				
15962.00 - 16111.99	4.80				
16112.00 - 16261.99	4.80				
16262.00 - 16411.99	4.80				
16412.00 - 16561.99	4.80				
16562.00 - 16711.99	4.80				
16712.00 - 16861.99	4.80				
16862.00 - 17011.99	4.80				
17012.00 - 17161.99	4.80				
17162.00 - 17311.99	4.80				
17312.00 - 22999.99.99	4.23				
23000.00 - 35000.00	3.85				

Annex 3: COVID-19 income support measures

A.3.1. Wage Supplement

The wage supplement was introduced to finance the wages of employees working in sectors who have suffered economically due to the COVID-19 pandemic. This includes those persons who were still active but whose working hours, and consequently their income, have significantly dropped during the outbreak.

The wage supplement programme targets sectors that have been adversely affected by the COVID-19 outbreak, providing employees with a basic wage cover to compensate for the disruption caused by the pandemic.

The Wage Supplement Scheme is the only STW compensation scheme in Malta.

The benefit will continue to be paid until the end of April 2022, with any further extensions dependent on the situation regarding Malta's economic recovery.

Eligibility conditions

Full-time and part-time employees working in the sectors²² that have suffered a significant drop in sales due to the COVID-19 pandemic or whose operations have been suspended following an order by the Superintendent of Public Health are entitled to the supplement. Self-employed working under these sectors are also eligible.

Calculation of benefit amounts

As of January 2021, the amount of assistance payable will be based on each business' losses during the pandemic. This will be calculated through filed VAT declarations, through an agreement reached with the VAT department, comparing the difference in turnover declarations between March to October 2019 and March to October 2020.

The monthly rates (gross) of the supplement are as follows:

Percentage drop in sales	FT employees	PT employees
55% or greater	€800.00	€500.00
Between 45% and 54%	€640.00	€400.00
Between 35% and 44%	€480.00	€300.00
Between 25% and 34%	€320.00	€200.00
Between 10% and 24%	€160.00	€100.00
Increase in revenue or drop in sales 9% or less	€0.00	€0.00

Note: Businesses forced to close down due to new restrictive measures introduced on 11th March 2021 will be eligible to receive the full wage supplement (800.00 Euros per employee per month) irrespective of sales. The full supplement will continue to be paid until such time these measures remain active.

²² The sectors are as listed in Annexes A, B and C found on the Malta Enterprise website. Annexes are subject to periodic updates.

For VAT exempt and new VAT numbers, the supplement paid will continue to be based on the original scheme, determined by NACE code registration, as follows:

1. Eligible persons employed full-time in any of the sectors listed in Annex A (see footnote 16) are entitled to maximum 800.00 Euros per month, while part-time employees are entitled to maximum 500.00 Euros per month.
2. Persons employed full-time in any of the sectors listed in Annex B will be eligible to receive 160.00 Euros per month, with part-time employees receiving 100.00 Euros per month. For companies based in Gozo, this rate has been doubled to 320.00 Euros per month for full-time employees and 200.00 Euros per month for part-time workers.
3. Self-employed persons in sectors found in Annex B, who also employ others, are entitled to 320.00 Euros per month if they work full-time while part-time self-employed are eligible to 200.00 Euros per month. Full-time self-employed persons based in Gozo are eligible to receive 320.00 Euros per month, which is increased to 480.00 Euros if they employ others. If part-time, self-employed persons are entitled to 200.00 Euros per month, increased to 300.00 Euros per month if they have employees.
4. Annex C lists sectors previously covered under Annexes A or B. Such sectors will be eligible to receive wage supplements of 600.00 Euros and 375.00 Euros per FT and PT employee respectively.

In August 2021, the Government announced a new tapering system for the disbursement of the Wage Supplement scheme. The worst-hit companies, those suffering a 55% or higher drop in sales continued to receive EUR 800.00 (EUR 500.00) for each FT(PT) employee. Less affected companies saw a gradual lowering of state support, split into two phases:

(i) Phase 1 (August – September 2021) – between 60% and 80% of original benefit was paid.

(ii) Phase 2 (October – December 2021) – approximately 50% of the Phase 1 amount continued to be paid to relative companies.

As a result of the new system, the following monthly amounts were being paid to FT employees (similar changes are applicable to PT employees):

Percentage drop in sales	Original	Phase 1	Phase 2
55% or greater	€800.00	€800.00	€800.00
Between 45% and 54%	€640.00	€510.00	€250.00
Between 35% and 44%	€480.00	€290.00	€145.00
Between 25% and 34%	€320.00	€200.00	€100.00
Between 10% and 24%	€160.00	€100.00	€50.00

Benefit duration

The benefit will continue to be paid until end April 2022, with any further extensions dependent on the situation regarding Malta's economic recovery.

Means test

The benefit is not means-tested.

Tax treatment

The benefit is taxable as it is replacing the normal wage of the employee. Taxes and social security contributions are calculated following the standard methods as described in Sections 8 and 7 of the report respectively.

Interactions with other components of the tax system

The benefit is universal and may be received together with any other benefit.

Combining benefit receipt and employment/starting a new job

Individuals eligible for the scheme have to be employed in their current workplace.

New employees, who are replacing previous employees that have resigned on a voluntary basis, are now also being covered by the scheme subject to the below conditions:

1. The number of employees receiving the supplement shall not exceed the number of employees that were receiving said supplement at end of May 2020.
2. The supplement shall be paid from October 2020 onwards.
3. Applicants require a written declaration stating that the termination of the previous employee was voluntary, to be signed by the legal representative of the company.
4. The employment conditions for the new employee cannot be less favourable than the employee he/she is replacing, to be also declared by the legal representative of the company.

The benefit is withdrawn when normal operations at the employee's workplace are resumed.